INTRODUCING

Profit *Algorithm*

Every decision has a price. See it before you choose.

THE BLIND SPOT

Plan delivered: 100%. Profit change: $0.

Process redesign DONE	New KPI dashboard DONE	Approvals sprint DONE	Vendor review DONE	Training program DONE	CRM cleanup DONE
Weekly reporting DONE	Hiring plan DONE	Cost review DONE	Quality audit DONE	Customer survey DONE	Tooling upgrade DONE
Policy update DONE	Pricing study DONE	Data migration DONE	Safety drill DONE	Capacity study DONE	Board deck DONE

PLAN DELIVERED

100%

PROFIT CHANGE

$0

Activity is gray. Value is gold.

Everything you are about to see follows one rule. Gray is effort. Gold is economic value. Only one of them shows up in profit.

THE SHIFT

LIVE

Tomorrow, it is an economic case.

VALUE

+$29,200 a year per point

DEPENDS ON

Faster approvals



GOAL

Raise utilization to 82%

STOPS PAYING AT

79% on its own

EVIDENCE

System records · strong

THE CONSTRAINT

Value lives at the constraint.

Work flows through every limit in the business. Only the narrowest one decides what becomes profit.



Illustrative ship-repair scenario from the product's engine tests · Modeled annual uplift, not a customer result · Implementation costs not included

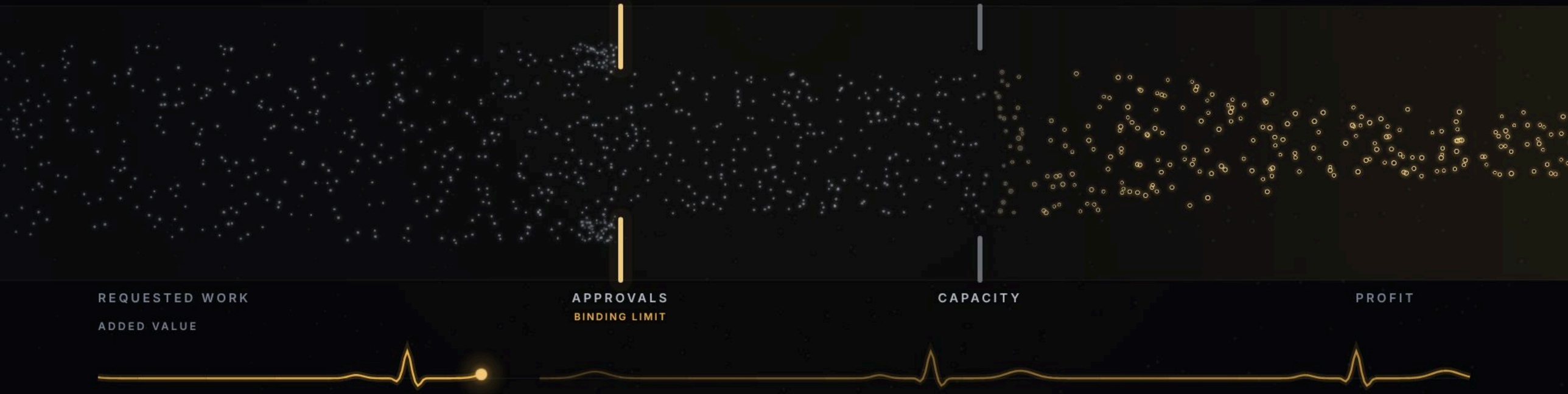
CHANGE ONE

Raise utilization

77% → 82%

ADDED OPERATING PROFIT PER YEAR · MODELED

Utilization alone	$58,400



Illustrative ship-repair scenario from the product's engine tests · Modeled annual uplift, not a customer result · Implementation costs not included

CHANGE TWO

Cut approval time
37 → 20 days

On its own, nothing turns gold.

ADDED OPERATING PROFIT PER YEAR · MODELED

Utilization alone	$58,400
Approvals alone	$0



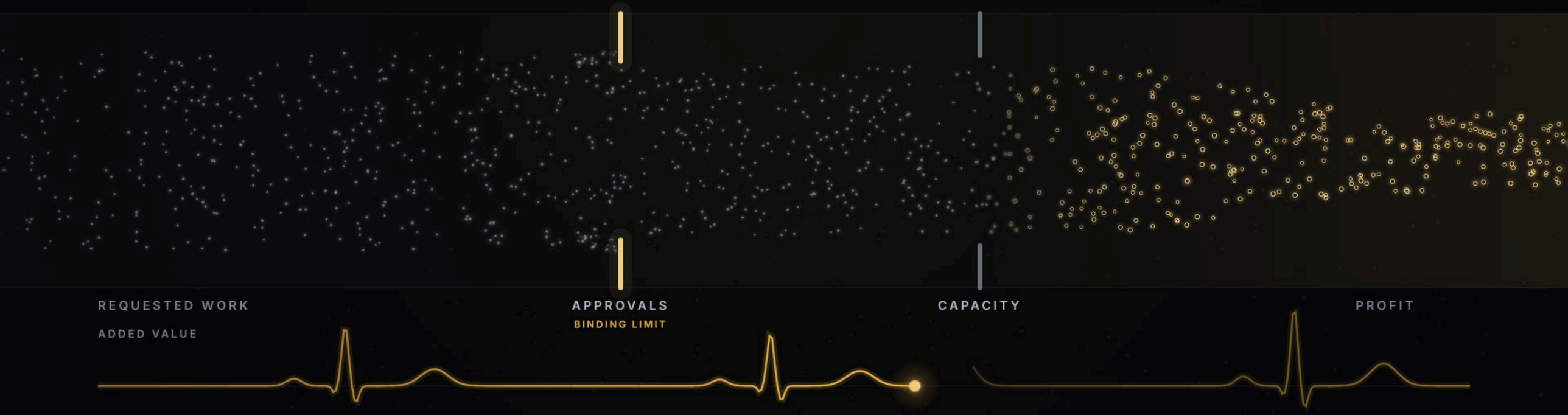
Illustrative ship-repair scenario from the product's engine tests · Modeled annual uplift, not a customer result · Implementation costs not included

BOTH TOGETHER

Now move both at once.

ADDED OPERATING PROFIT PER YEAR · MODELED

Utilization alone	$58,400
Approvals alone	$0
Both together	$119,600



Illustrative ship-repair scenario from the product's engine tests · Modeled annual uplift, not a customer result · Implementation costs not included

THE INTERACTION

$61,200 exists only when they move together.

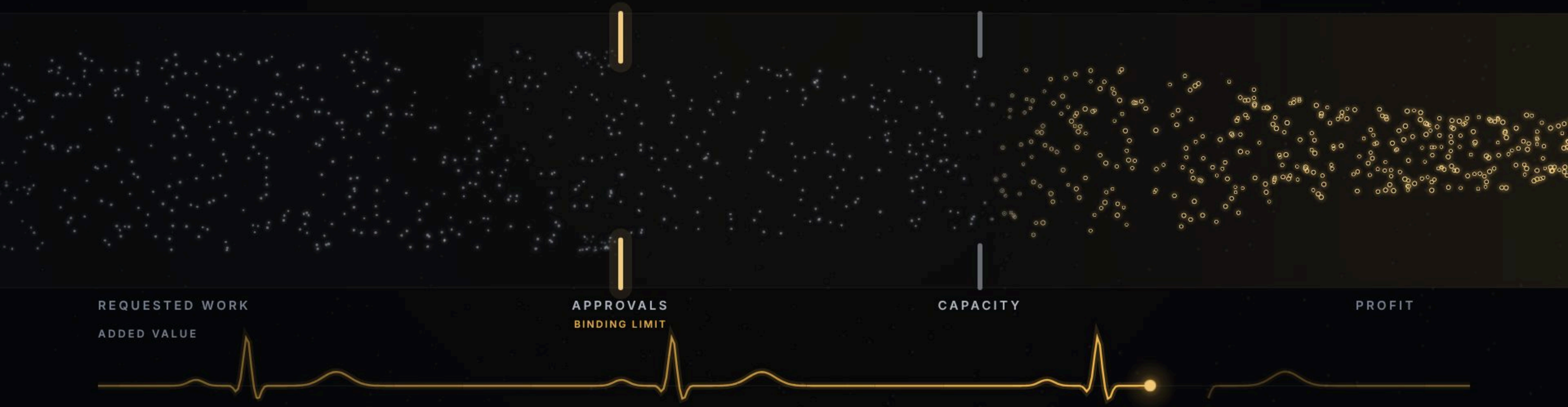
A zero doesn't mean worthless. It means *not yet*. Remember the approvals sprint that changed nothing? This is where it pays.

ADDED OPERATING PROFIT PER YEAR · MODELED

Utilization alone	$58,400
Approvals alone	$0
Both together	$119,600

Sum of the parts · $58,400

Together · $119,600



Illustrative ship-repair scenario from the product's engine tests · Modeled annual uplift, not a customer result · Implementation costs not included

LIVE MODEL

Every improvement has a stopping point.

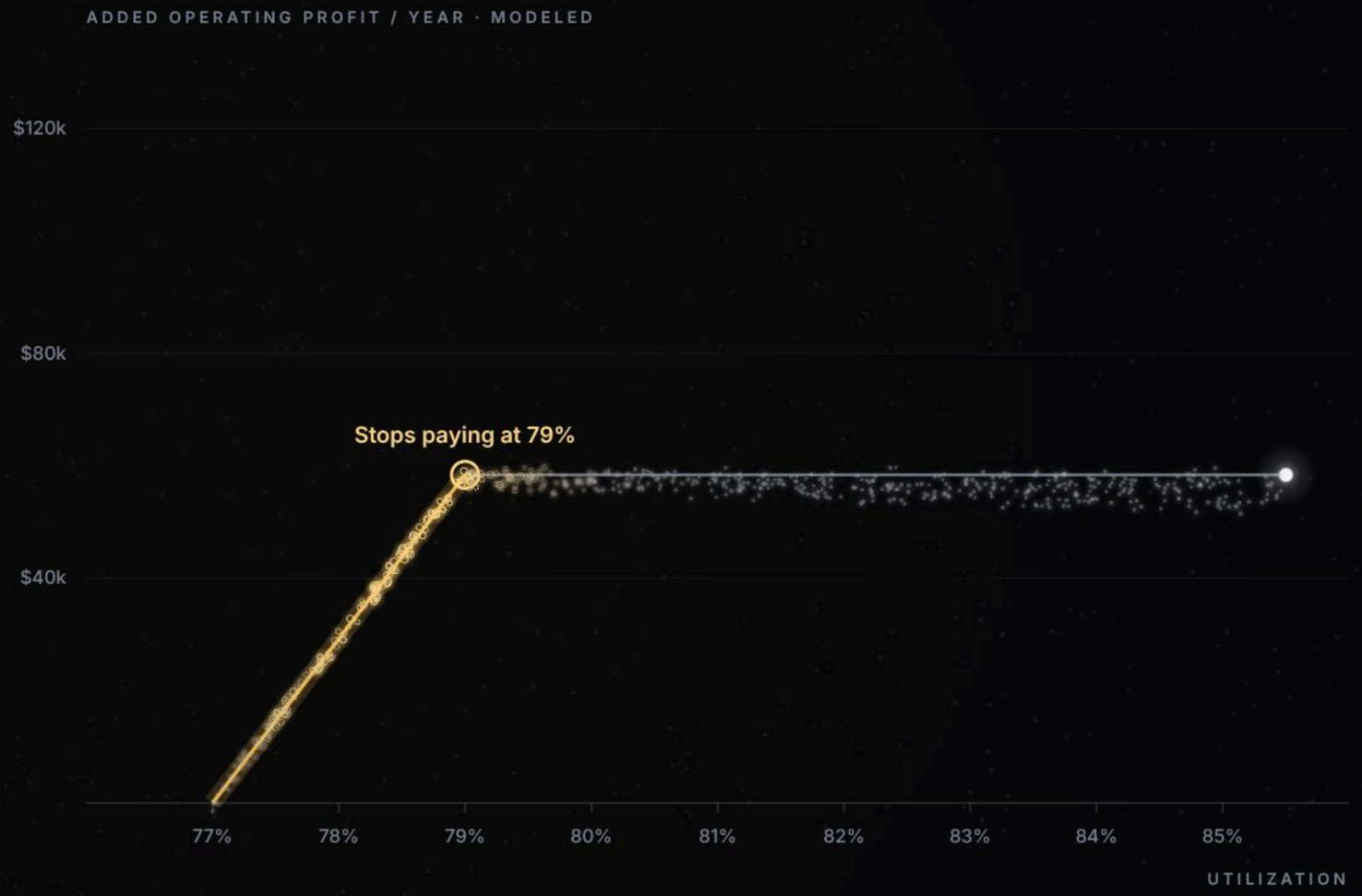
On its own, utilization pays until approvals become the limit.

UTILIZATION
85.5%

APPROVAL TIME
37 days

ADDED PROFIT / YEAR
$58,400

NEXT POINT WORTH
$0



↑ ↓ drive utilization A toggle approvals

Same illustrative scenario · Modeled annual uplift · Implementation costs not included

LIVE MODEL

Every improvement has a stopping point.

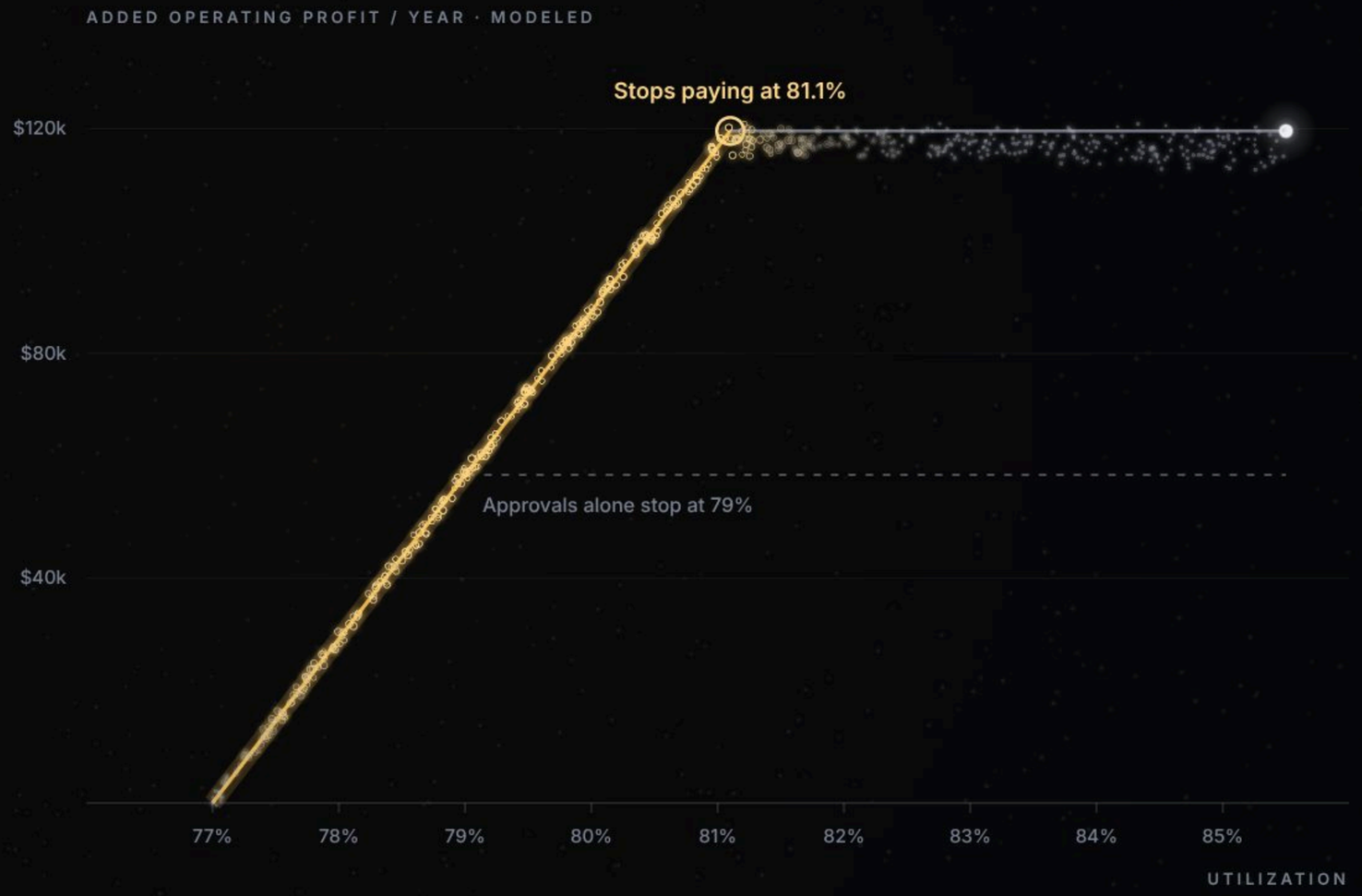
Speed up approvals as well, and the stopping point moves.

UTILIZATION
85.5%

APPROVAL TIME
20 days

ADDED PROFIT / YEAR
$119,600

NEXT POINT WORTH
$0



↑ ↓ drive utilization A toggle approvals

Same illustrative scenario · Modeled annual uplift · Implementation costs not included

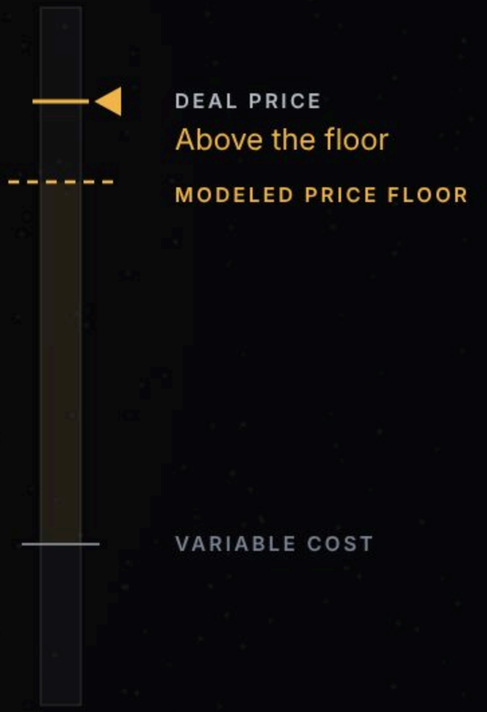
DEAL DESK

LIVE

A good margin can still be a bad deal.

CAPACITY · FULL





Priced for what it displaces, it creates value.

DISPLACED BUSINESS

MONDAY LIST

Monday morning.
An agenda written in dollars.

1 Coordinate approvals and capacity

$2,300 A WEEK AT STAKE

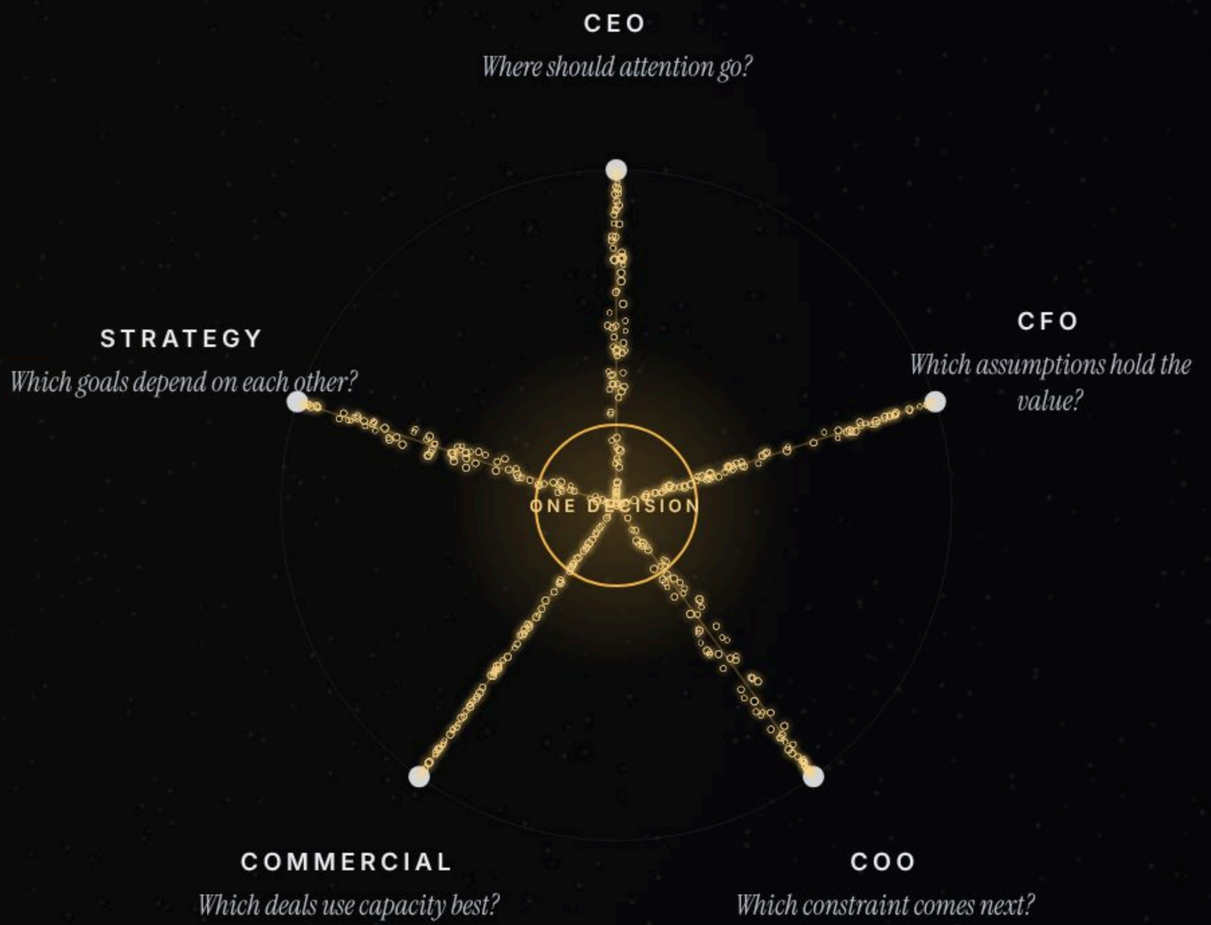
2 A deal is waiting below its price floor

DECISION PENDING

3 Contribution per day rests on an estimate

VERIFY BEFORE COMMITTING

The weekly figure is an urgency signal derived from modeled annual value, not a cash forecast.



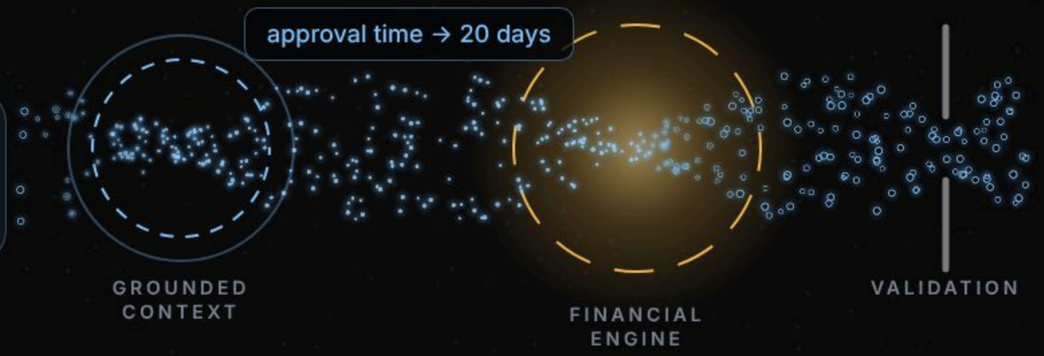
One economic language across the leadership table.

ASK IN PLAIN LANGUAGE

LIVE

The engine calculates. The AI explains. Leaders decide.

What if approvals took 20 days?



Proposed plan · 4 tasks on the goal

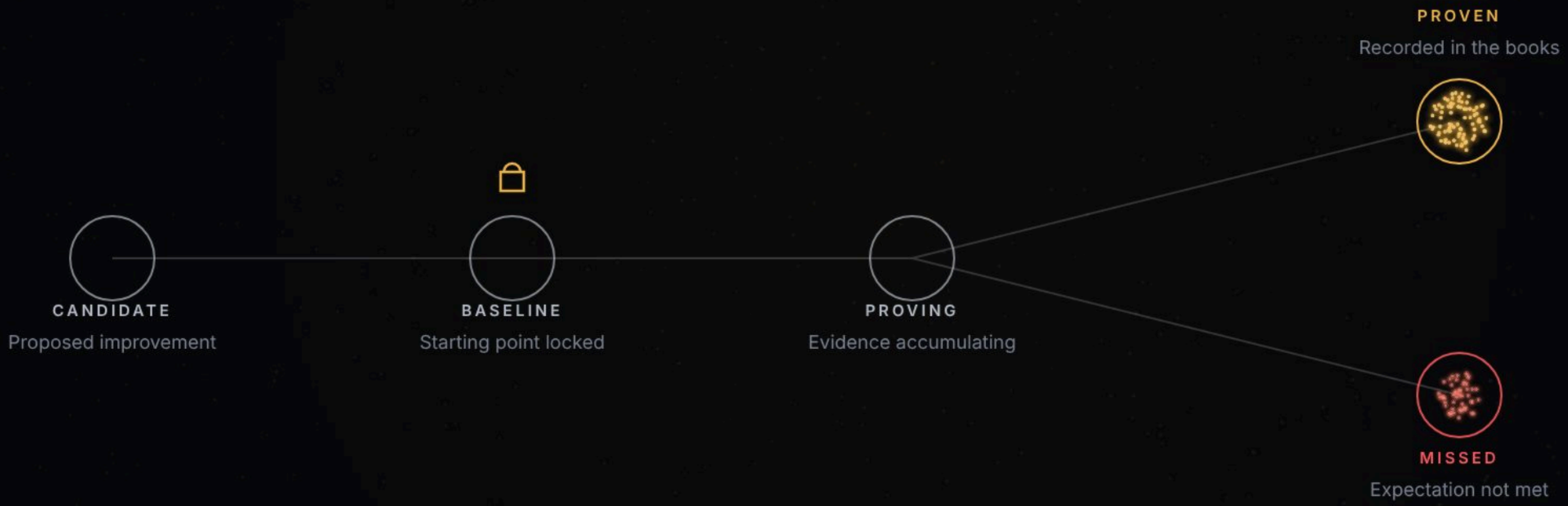
APPROVE

Nothing changes until a person approves.

VALUE LEDGER

LIVE

Forecasts promise. The ledger keeps score.

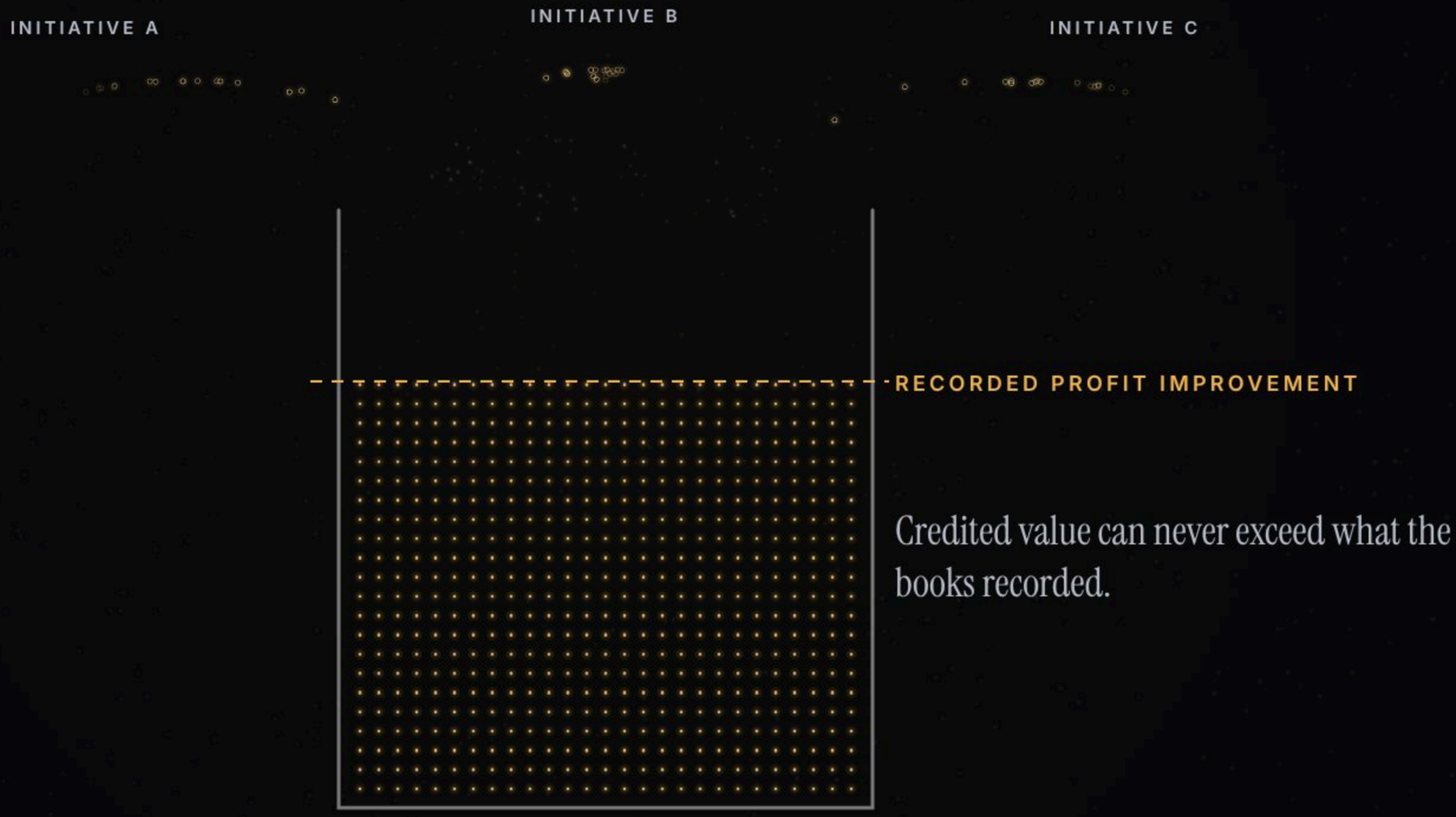


"Proven" means the improvement passed the product's evaluation criteria. Demonstration entries are always kept apart from real ones.

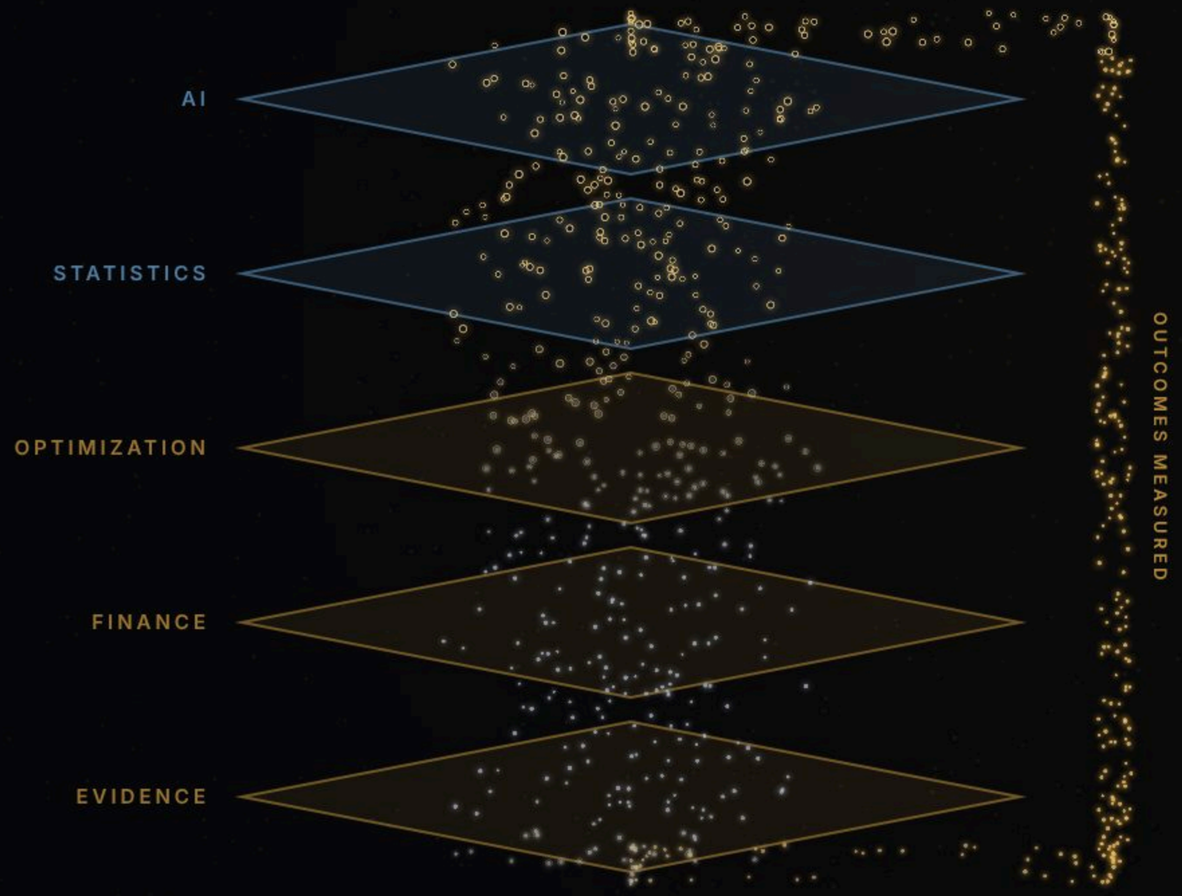
VALUE LEDGER

LIVE

Three initiatives. One recorded gain. No double counting.



Credited value can never exceed what the books recorded.



UNDER THE HOOD

Five disciplines.
One decision architecture.

Data in. Economics computed. Decisions explained.
Outcomes measured, and fed back into the evidence.

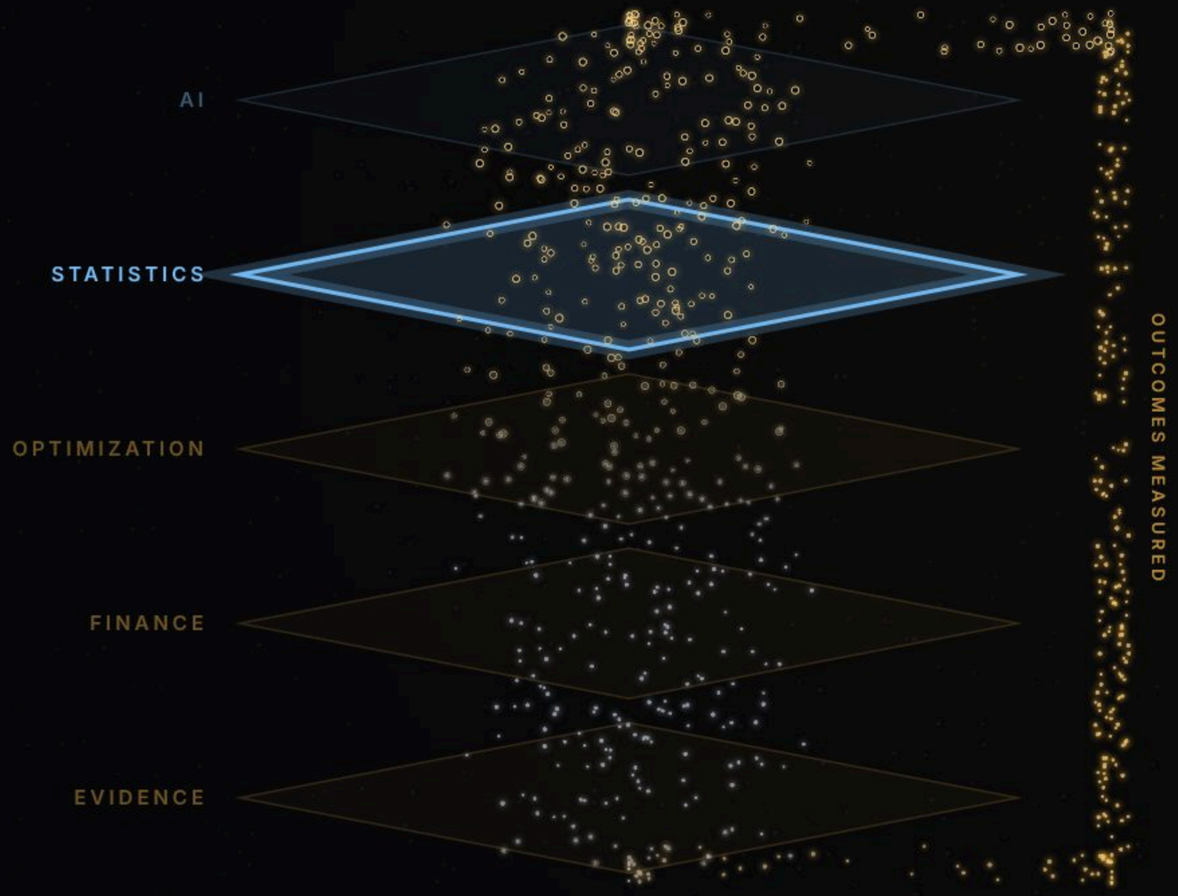
MATHEMATICAL OPTIMIZATION

The best feasible move, priced.



- Constrained optimization of the operating plan
- Marginal value of every scarce resource
- Detection of where the bottleneck moves next
- Interaction value across connected goals
- Full re-solve at every target, never a straight-line guess

LIVE



04 / 05

STATISTICS

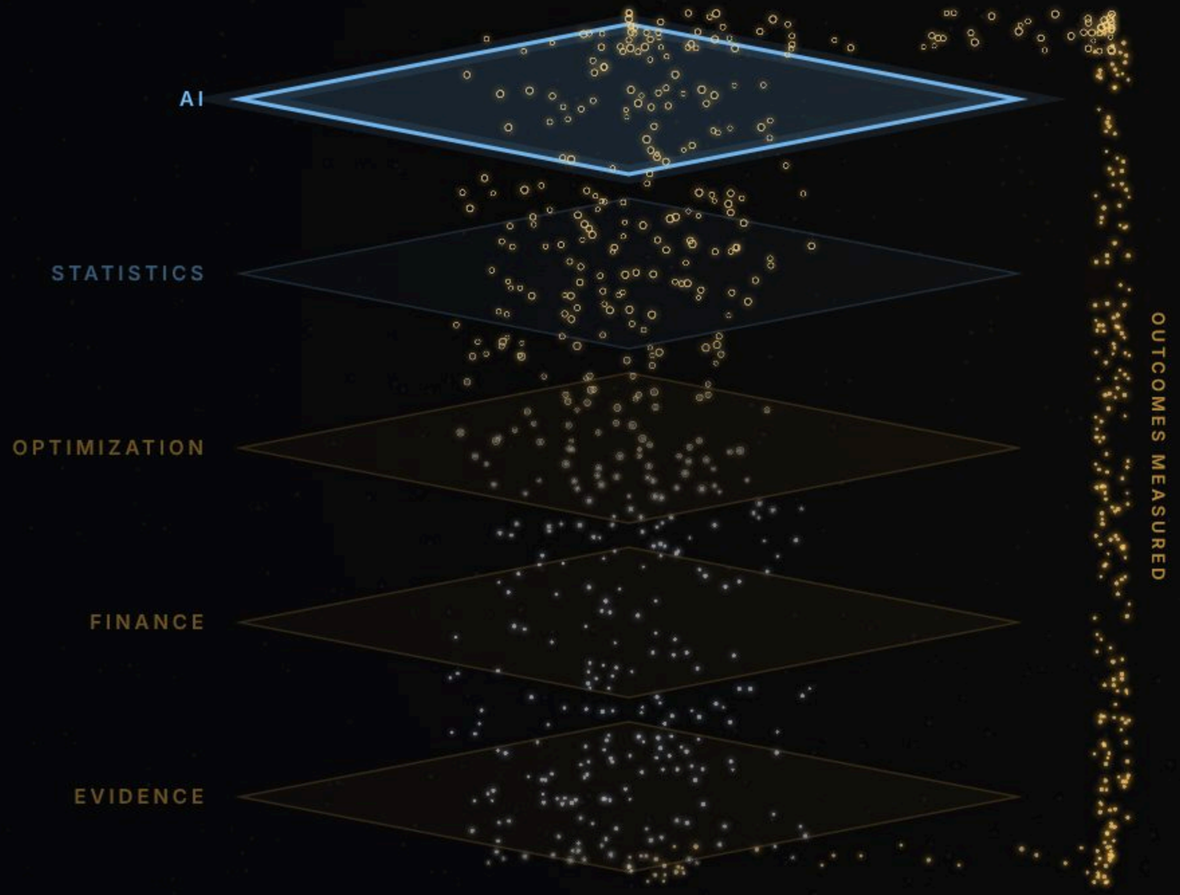
It scores its own predictions.

- Forecasts must beat a simple seasonal benchmark
- Ranges, not points: quantile forecast bands
- Calibration: accuracy, bias and coverage
- Impact measured against the pre-change pattern
- Placebo and stress tests on every impact claim

LIVE · OPTIONAL LAYER

ARTIFICIAL INTELLIGENCE

Explains. Never invents.



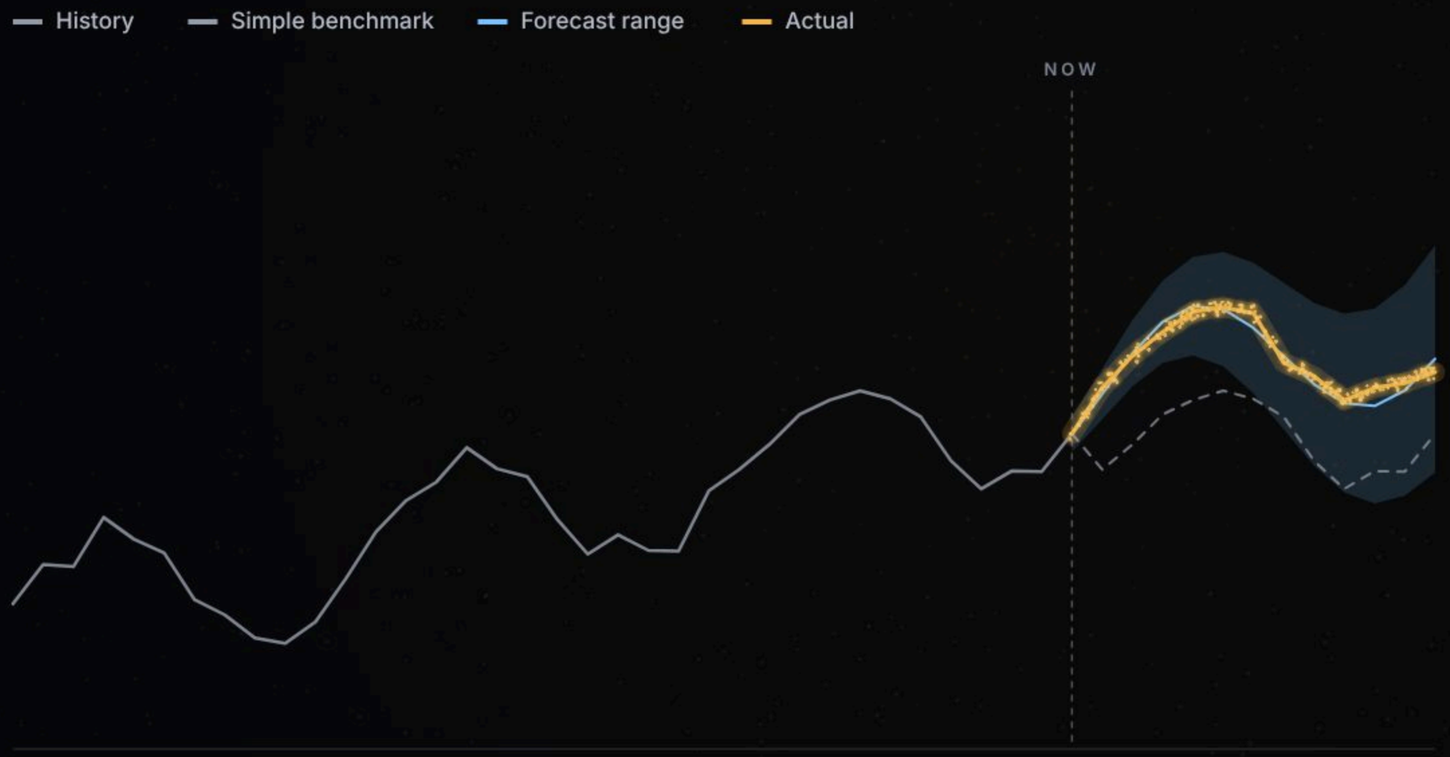
- Grounded in the organization's goals and links
- Plain language turned into structured scenarios
- Answers checked for structure, sources and figures
- Value-aware drafting of task plans
- A person approves before anything changes

LIVE

STATISTICS

LIVE · OPTIONAL LAYER

Every forecast must beat the simple answer.



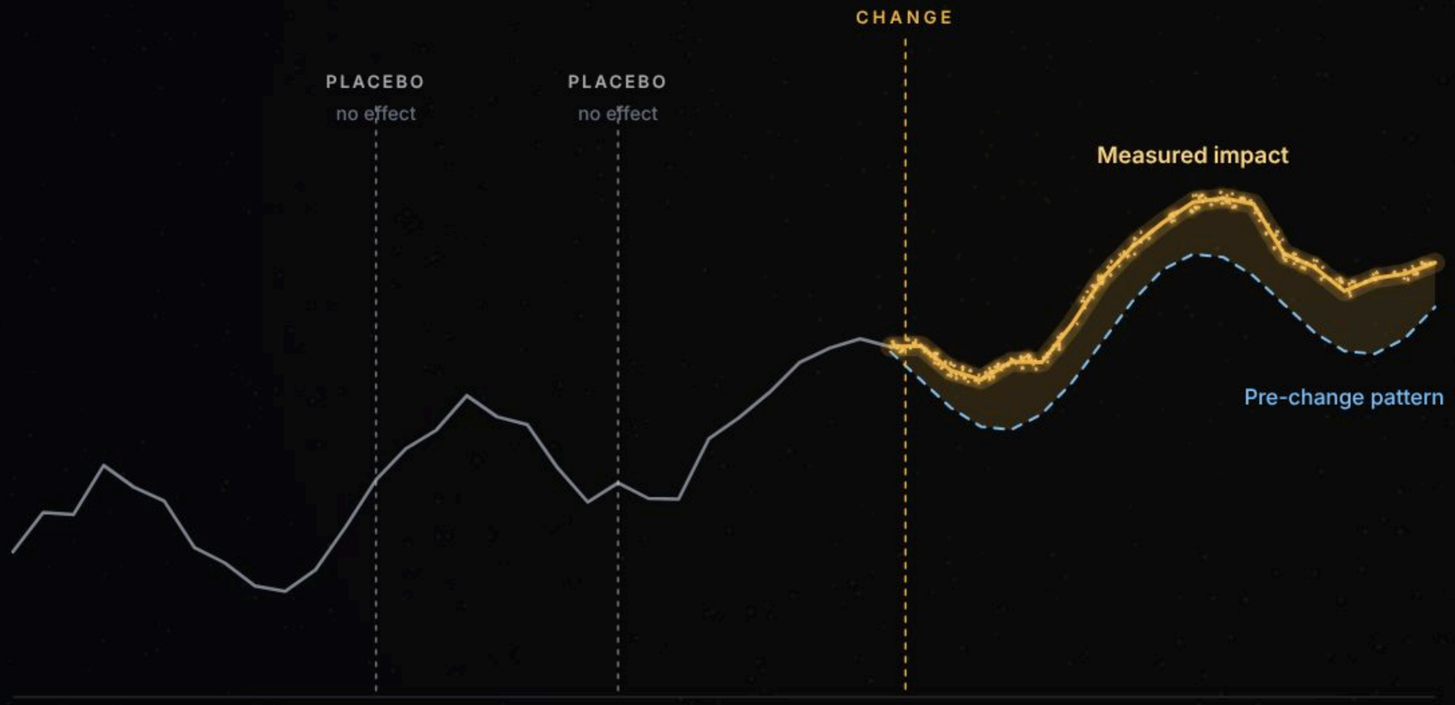
- **Benchmark first**
  Used only if it beats a simple seasonal forecast on history.
- **Ranges, not points**
  Every forecast carries its uncertainty band.
- **Scored afterward**
  Accuracy, bias and coverage of every past prediction.

Illustrative series

STATISTICS

LIVE · OPTIONAL LAYER

Every impact claim must survive an attack.



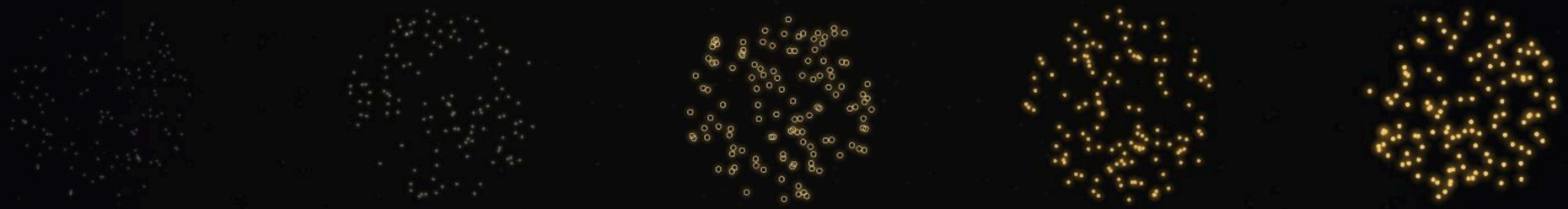
- **Placebo dates**
  No false effect where nothing changed.
- **Random variables**
  The estimate holds when noise is added.
- **Data subsets**
  The estimate holds on different slices of history.

Illustrative series

EVIDENCE

LIVE

Every number knows where it came from.



ESTIMATE STATED SAMPLED SYSTEM RECORD CONTROLLED TEST

Append-only history · every calculation fingerprinted and reproducible · demonstration data never mixes with real

ADOPTION

LIVE

Run it in the shadows.
Switch it on when it has earned trust.

OFF | SHADOW | ON

ON

Economics shapes the ranking, at the strength leaders choose.



THE VALUE-NATIVE ENTERPRISE

VISION

Tomorrow, every decision carries its economic consequence.



EVERYWHERE

Every task

Every meeting

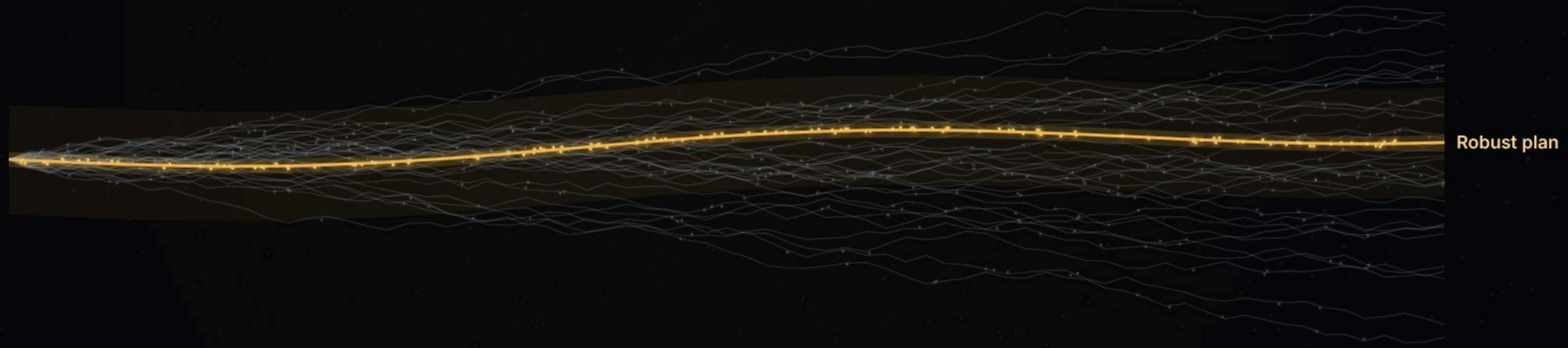
Every hire

Every investment

UNCERTAIN FUTURES

○ ROADMAP

Choose plans that still work when the world doesn't cooperate.



METHODS

Correlated Monte Carlo scenarios

Stochastic and robust optimization

Tail-risk measures (CVaR)

CAPITAL AND TIME

ROADMAP

From operating profit to capital allocation.



METHODS

Multi-period optimization

Mixed-integer decisions

Discounted cash flow

Real-options reasoning

EVIDENCE AND INDUSTRIES

○ ROADMAP

Smarter evidence. Every industry.



METHODS

Multivariate forecasting with external drivers | Synthetic controls | Difference-in-differences | Bayesian updating | Value of information

How much of your work is gray?



Activity is not value.

The Profit Algorithm measures the difference.



See what it's worth. Decide with evidence. Prove what it delivered.

THE NEXT STEP

Start with one decision you can measure.



01

One business process

02

A clear financial baseline

03

A few connected goals

04

One measured outcome